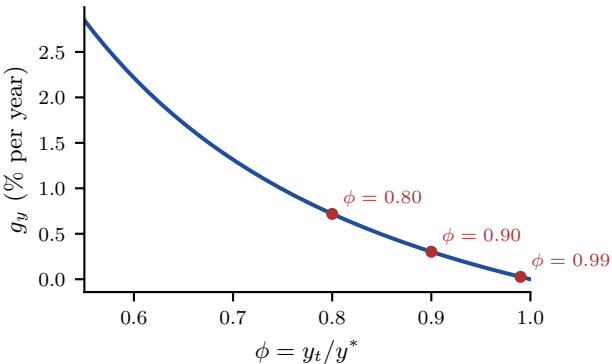


5.2(d) — speed of convergence, $\alpha = 0.35$, $\delta = 0.04$

growth falls to zero as $\phi \rightarrow 1$



the gap closes at a nearly constant rate

